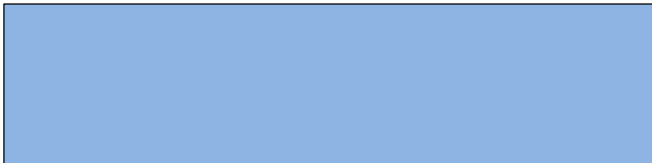
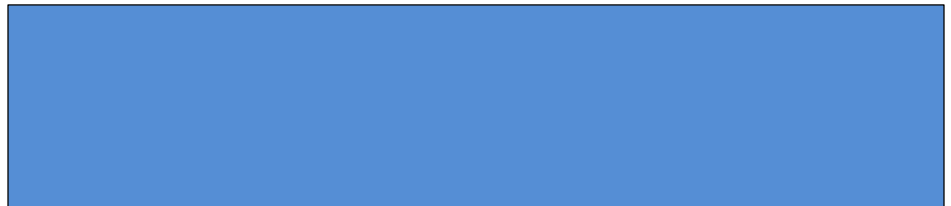




Timberland Regional Library 2015 Draft Final Budget



11/19/2014



2015 Final Budget

All Funds

Prepared by Timberland Regional Library
415 Tumwater Blvd SW
Tumwater, WA 98501

INFORMATION AND RESOURCES

CONTACT INFORMATION:

Timberland Regional Library Administrative Service Center
415 Tumwater Blvd SW
Tumwater, WA 98501
Phone: 360.943.5001/Fax: 360.586.6838
TRL.org

BOARD OF TRUSTEES:

Bob Hall, Board President-Elect
Pacific County Representative

Hal Blanton, Member-at-Large,
President-Elect, Lewis County

Stephen Hardy
Mason County Representative

Emmett O'Connell
Thurston County Representative

Regina King
Lewis County Representative

Corby Varness, Board President
Grays Harbor County Representative

Rebecca Connolly, Member-at-Large
Thurston County

ADMINISTRATION:

Cheryl Heywood, Library Director
Rick Homchick, Business Manager
Kristine Tardiff, Manager, Public Services
Gwen Culp, Manager, Information Technology
Rich Park, Manager, Human Resources
Jeff Kleingartner, Manager, Communications
Felicia Wilson, Manager, Collection Services
Ellen Duffy, Youth Services Coordinator
Tim Mallory, Adult Services Coordinator

ACKNOWLEDGEMENTS:

The Board of Trustees wishes to acknowledge the many individuals who contributed time and expertise to the preparation and publication of the 2015 Budget. The annual budget is an important responsibility of local government and was developed in compliance with Washington State Law.

BUDGET DEVELOPMENT

Timberland Regional Library's 2015 budget is designed to provide an understanding of TRL's plan to provide for annual services, resources, and programs. The purpose of TRL's budget, background information, and disclosure of several assumptions are presented to make the budget document a more meaningful and useful guide to TRL's 2015 library services planning and policy goals.

INTRODUCTION

This section contains information to orient the reader on the 2015 Budget. Included are major budget issues, recommendations, highlights of major changes from the prior year budget, and the budget process for 2015.

- A Budget Message
- Budget Priorities
- TRL's Mission and Vision Statements
- A description of the annual budget process
- Timeline of past major events

POLICIES/GUIDELINES

This section contains an overview of budgeting and financial policies and principles that are used to evaluate the budget targets and to determine if the library is meeting planning and policy goals for programs and services as well as finances.

- 2014 Projected Revenues, Expenditures and Fund Balances
- 2015 Budget Condensed Budget
- 2015 Projected Revenues, Expenditures and Fund Balances
- Three-year projections
- Library's Financial Policies for review

REVENUE/EXPENDITURES/FUND BALANCE

This section contains a more detailed overview of revenue, expenditure, and fund balance sources and associated assumptions. This section also contains historical trends that support TRL's operational estimates and provides an explanation of the Library's property tax system and a summary of TRL's property tax revenues and assessment valuation.



Introduction

BUDGET MESSAGE

We are pleased to present the 2015 Timberland Regional Library budget as a structurally balanced and affordable plan that includes strong commitment to our patrons and communities. It represents a tradition of high service standards, a passionate promotion of a variety of literacies, and a deep, broad community engagement effort that continuously identifies and strengthens a diverse group of strategic partnerships. It communicates an ongoing effort to provide essential public library services that contribute to the quality of life in all TRL communities.

While the proposed budget is structurally balanced and affordable, long-term problems persist. An ability to maintain core service levels and still have an ability to strategically invest into the future is in question. Over the last year opportunities were evaluated against available resources and priorities, and difficult decisions were made. Expenditures were managed in an aggressive manner and any question of adding to services, or expanding, was considered only in terms of what must be cut: the tradeoff. There was also an impact from the initiatives developed as a result of long-term strategic planning.

We have learned a great deal from the economic downturn and the phenomenal changes in technology over the last few years. Sustainability and adaptability are key factors in our progress and we have been charged to build a bridge to a more effective TRL in the future. Being attuned to the needs, desires, and preferences of our various communities is also important. These are the goals that were learned from the past and form the foundation of the current and future budgets.

This has been a time of new beginnings at Timberland Regional Library. There has been renewed attention to finding that connection between increasing awareness, interest, and usage of the wide range of TRL services offered by its libraries, and the impacts delivered on long-term strategic objectives: strengthening families and youth, supporting local economies, and strengthening community engagement. Few organizations are in a position to make an impact in their communities as broadly as libraries can.

TRL utilizes priority based budgeting: determining how much revenue is available, identifying the most important priorities, and allocating resources to those priorities. The 2015 Budget Priorities were developed with an understanding that resources need to be in alignment with long-term strategies. Services and budget planning will proceed in coordination with strategic planning priorities and objectives, and ultimately will influence the allocation of resources. This is a response from the Board of Trustee's 2015 budget priorities and forms the basis of the budget.

2015 BUDGET PRIORITIES WITH RELATED INITIATIVES

- **Strengthen Families and Youth**
 - A 2014-2018 Strategic Plan service priority incorporates **Parent Education Programming** into library services in collaboration with professional community partners. The pilot project for this service priority will be developed and implemented in Thurston County in 2015. The expenditure will cover speaker fees for individual programs or a program series.
 - **Family Read & Sing Aloud Initiative.** Many libraries offer special family programming during the Family Read & Sing Aloud initiative. The 2013 budget was the first time that district funding was provided to support library programming during the Family Read & Sing Aloud. An increase in spending will allow up to 20 libraries to be able to request up to \$400 to provide a quality family program.
 - **Mother Goose Play Group** will cover purchase of district staff resources to support this new programming model. Examples of purchases might include a collapsible water/sand table; crawl through tunnel; parachute; and, soft toys.
 - **Math Games-to-go** will cover purchase of variety of math games. Examples could include: Prime Climb; Math Dice; Yahtzee; Connect 4; Pente; Mastermind; Mancala; Qwirkle; Blokus; Hiss; Brick by Brick; and, Set. One or two Math programs-to-go will be developed.
- **Support Local Economies**
 - Highlight current services/resources through programs, resources, advertising, and outreach.
 - Jobs and Careers
 - Your Money
 - Business Know How
 - Education/Early Learning
- **Support Community Engagement Through Culture, History, and the Arts.**
 - **Timberland Writes Together.** TRL will produce a library benefit anthology of stories submitted by patrons, releasing the anthology in paperback and digital formats to coincide with Timberland Reads Together 2015.
- **Enhance Collections and Technology**
 - 15.77% of total expenditures is dedicated to collections, materials, and technology resources.
- **Foster a Supportive Work Environment**
 - A staff developed **Innovation Task Force** will create a formal process at TRL to identify, suggest, and design innovation.
 - \$114,840 Training Budget is dedicated towards TRL's most important resource: staff.

- **Promote the Library as a Community Gathering Place**
 - A staff developed **Youth Area Refresh Task Force** will create ideas for inviting and welcoming areas for families in all Timberland libraries that will inspire parents and caregivers to talk, read, play, sing and write with their children.
 - A staff developed **Parent Education Task Force** will incorporate parent education into library services in collaboration with professional community partners.
- **Beyond 2015 Priorities**
 - 10-20 Year Facilities Plan
 - Vision of the Library in the Future
 - Space Planning/Remodeling for Future Uses

General Fund Overview

The General Fund operating budget, which is used to plan and carry out the normal operations and maintenance services of TRL not accounted for in other funds, is \$21,860,633 for 2015 before transfers and other non-expenditures, an increase of \$267,166 over last year. General Fund projected expenditures, comprising the basic cost elements for essential library services, are up 1.73% over the 2014 Budget. General Fund projected revenues for 2015 are anticipated to increase 1.24%. In order to balance current projected expenditures to current projected revenues, \$238,741 will need to come from existing reserves.

Timberland Regional Library's two biggest cost drivers are always salaries and wages, 69.22% of operating expenditures, and books and materials, 15.77% of operating expenditures.

Many thanks to all staff who completed the LiveWell incentive program. TRL exceeded the goal of 40% participation and all employees enrolled in medical coverage will receive the 4% premium discount.

How did we balance the budget for 2015? Revenues are growing at a steady, dependable pace but expenditure growth is down this year due to changes in personnel. Four changes in library manager positions, in addition to several changes in other key positions, contributed to a savings.

Building Fund Overview

Timberland Regional Library maintains a Building Fund to pay for building or remodeling and maintenance of TRL owned library facilities and for assistance with the design and planning of new or remodeled city-owned library facilities.

The 2015 Building Fund Budget continues to move us towards implementation of a long-term funding strategy. Consideration for space planning for the future library service model will begin in addition to

the continued use of the Service Points Analysis for a full and equitable method to evaluate and prioritize requests for change to our service points.

Timberland Regional Library recognizes the need to financially partner with cities for new, enlarged and remodeled library facilities and will review policy options more fully in 2015. The overall expenditure level in 2015 is anticipated to be \$444,300.

Automated Circulation Fund Overview

Timberland Regional Library maintains an Automated Circulation Fund for the purchase and implementation of the library's integrated library system (ILS), major purchases of computer network and telecommunications equipment.

The last major initiatives within this fund were the upgrade of the ILS in 2010 and upgrade to the telecommunication systems of 2010 and 2011. Included for 2015 is the purchase of two Hyper-V Servers, 35 Cisco Lightweight Access Points, and 1 DPM1 Backup Server. The overall expenditure level is anticipated to be \$215,627.

Unemployment Compensation Fund Overview

Timberland Regional Library maintains the Unemployment Compensation Fund for compensation payments in a self-insurance program. The overall expenditure level is anticipated to be \$25,000.

Gift Fund Overview

Timberland Regional Library uses the Gift Fund to track receipts and disbursements for restricted gifts and bequests to TRL libraries.

Conclusion

The budget is structurally balanced and affordable. It includes increased investments in library services dedicated to families and youth and the many communities served by TRL. Difficult decisions were made and many difficult decisions remain in the future. Being a good steward for taxpayer money means knowing when to make adjustments and when to adapt to changes in the environment that produces positive, long-term impacts for our communities.

Priority based budgeting allows for strategy within a context of overall long-term strategic planning. The over-arching goal of the 2015 Budget is to shape the highest priority for services as determined by public and staff input, within the limits of available resources, and with an eye on the future for long-term planning needs - all with a purpose of remaining sustainable.

TRL MISSION STATEMENT

Timberland Regional Library invites discovery and
interaction
with our vibrant collection, services and programs
for learning, enrichment, and enjoyment
for people of all ages in our diverse communities.

TRL VISION STATEMENT

For those who seek – a connection
For those who question – a dialog
For those who create – a palette
For those who imagine – a story
For all – a place to belong

LIBRARY VALUES

Service

- We promote a welcoming, supportive, and engaging environment for people of all ages and strive to provide superior customer service.
- We work with people in our communities to meet their individual needs and interests.

Integrity

- We manage the library ethically with accountability, transparency, and clear communication to build public trust in TRL and its staff.

Collaboration

- We develop partnerships to build stronger communities.
- We work together trusting and respecting our various talents to provide the best service possible.

Community Focus

- We are innovative, creative, and flexible in developing library services and programs that meet the needs of TRL's diverse communities.

Approved by the TRL Board of Trustees, 2013

ANNUAL BUDGET PROCESS

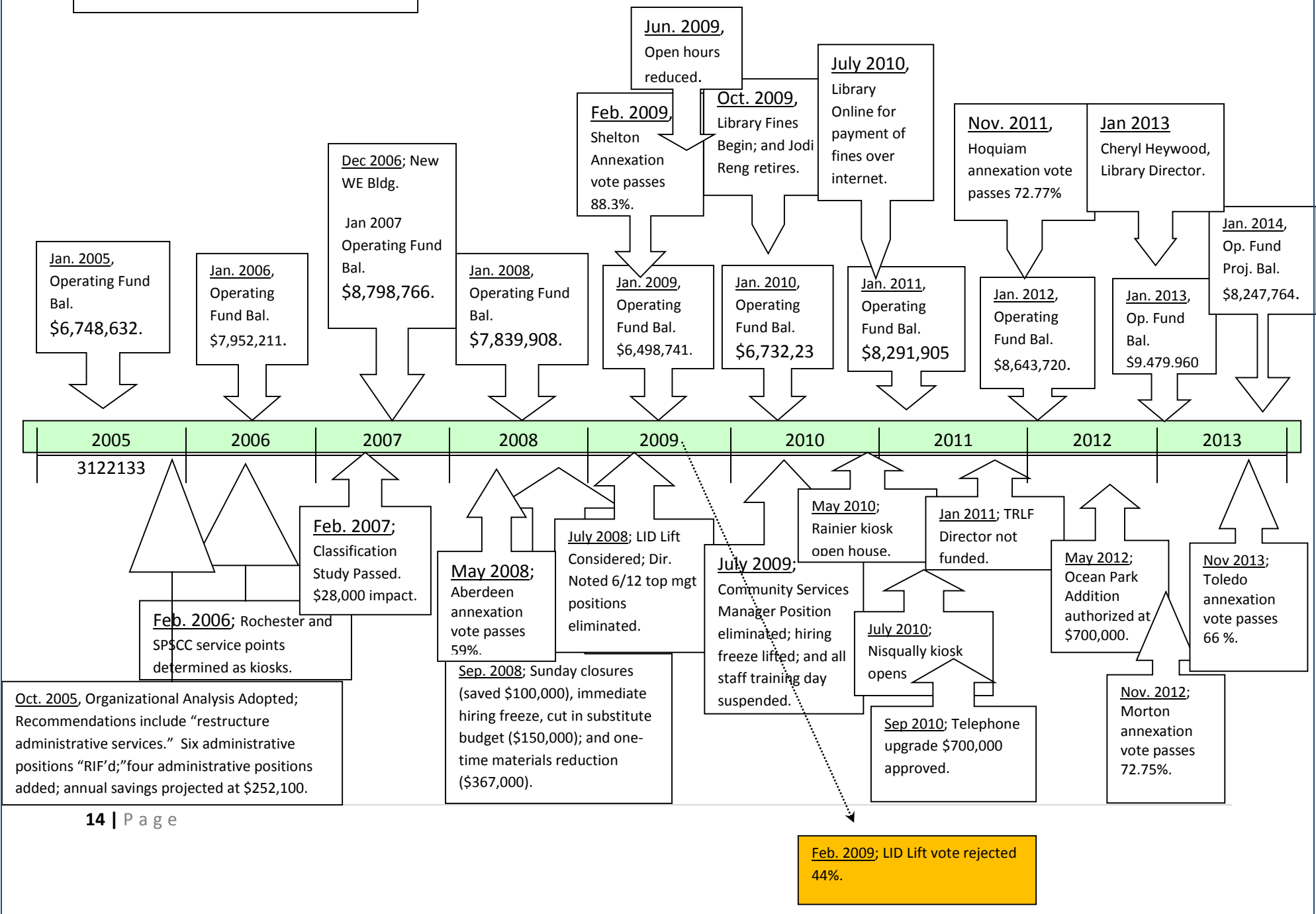
The annual budget process involves teamwork and cooperation among many groups, including our communities, the Board of Trustees, our cities, our bargaining units, the Board Budget and Facilities Committees and staff. The annual operating budget is prepared on a calendar year basis and consists of the six distinct phases as follows:

1. **PLANNING:** The Budget Committee provides guidance to direct Departments in developing their budgets for the coming year – what the constraints are and what priorities to focus on.
2. **DEVELOPMENT AND PREPARATION:** The Departments develop and submit their budget requests to be reviewed and prioritized. The submitted requests are balanced against projected revenues and expenses as the Preliminary Budget is developed.
3. **REVIEW AND ADOPTION:** The Board of Trustees reviews the draft Final Budget, seeks input from the public, makes budget adjustments and then adopts the Final Budget for the next calendar year.
4. **IMPLEMENTATION:** Programs financed by the approved budget are carried out. The budget year is on a calendar year, January 1 through December 31, 2015. Appropriations lapse at year end.
5. **MONITORING:** Expenditures are monitored by the Director and the Administration team throughout the year to ensure that funds are used in an approved manner. Monthly detailed budget reports are available to department managers who are responsible for monitoring expenditures paid from each line item. These reports indicate approved budgets for each line item and department/program/line of business as well as expenditures to-date.
6. **EVALUATION:** Audits are conducted and annual financial reports are produced.

2015 OPERATING BUDGET CALENDAR OF EVENTS

Discussed Budget Priorities and Reviewed External Factors	June 25, 2014
Budget Workshop	September 24, 2014
Public Hearing on draft Final Budgets	November 19, 2014
Adopt the Final Budgets	December 17, 2014

TRL Timeline, 2005 to current





Policies and Guidelines

POLICIES AND GUIDELINES

Budget Adoption

TRL adopts a budget each year in accordance with RCW 27.12.210. TRL's fiscal year runs from January 1st to December 31st. The Library's budget provides insight for the fiscal year's expenditures and reflects the goals and priorities of the Board of Trustees.

TRL's budget is adopted at the fund level. Expenditures may not legally exceed appropriations at that level of detail. Appropriated budgets are adopted for the General Fund, Building and Site Acquisition and Improvement (Building) Fund, Automated Circulation Fund, and Unemployment Compensation Fund.

The budget is structurally balanced. In the case of the General Fund budget, this means that expenditures are generally funded from current revenues. In instances where expenditures may be funded from fund balance (reserves), such funding is from fund balance amounts which exceed any operating reserve requirement established through the Fund Balance Management Policy.

Basis of Accounting

TRL reports financial activity using the revenue and expenditure classifications, statements and schedule contained in the Cash Basis Budgeting, Accounting and Reporting System (BARS) manual. This basis of accounting and reporting is another comprehensive basis of accounting (OCBOA) that is prescribed by the State Auditor's Office under the authority of Washington State law, Chapter 43.09 RCW.

Basis of accounting refers to when revenues and expenditures are recognized in the accounts and reported in the financial statements. Revenues are recognized only when cash is received and expenditures are recognized when paid.

Purchases of Capital assets are expensed during the year of acquisition. There is no capitalization of capital assets, nor allocation of depreciation expense. Inventory, including collection materials, is expensed when purchased.

Fund Accounting

The accounts of TRL are organized on the basis of funds, each of which is considered a separate accounting entity. Each fund is accounted for with a separate set of single-entry accounts that comprises cash, investments, revenues, and expenditures, as appropriate. TRL's resources are allocated to and accounted for in individual funds depending on their intended purpose.

TIMBERLAND REGIONAL LIBRARY

2014 ESTIMATED REVENUES, EXPENDITURES, AND FUND BALANCES

Draft Final Budget - November 19, 2014 - ALL FUNDS

	General Fund	Building Fund	Auto. Circ. Fund	Unemp. Fund	Gift Fund	Total Funds
ESTIMATED REVENUES:						
Property Taxes	19,036,090	0	0	0	0	19,036,090
Other Revenues	2,347,962	11,000	3,750	1,000	150,000	2,513,712
Total Proj. Revenues	21,384,051	11,000	3,750	1,000	150,000	21,549,801
Operating Transfers-In	0	400,000	40,000	10,000	0	450,000
Total Resources	21,384,051	411,000	43,750	11,000	150,000	21,999,801

APPROPRIATIONS:

Total Projected	20,817,971	265,000	95,000	25,231	25,500	21,228,702
Operating Transfer-Out	450,000	0	0	0	0	450,000
Intergovernmental	1,261	0	0	0	0	1,261
Reserve Increase (Dec)	114,819	146,000	(51,250)	(14,231)	124,500	319,839
Total Uses	21,384,051	411,000	43,750	11,000	150,000	21,999,801

Projected Fund Balances:

Fund Balance 01/01/14	\$ 7,961,638	\$ 2,042,763	\$ 752,081	\$ 181,328	\$1,106,794	\$ 12,044,604
Reserve Increase (Dec)	114,819	146,000	(51,250)	(14,231)	124,500	319,839
Fund Balance 12/31/14	\$ 8,076,457	\$ 2,188,763	\$ 700,831	\$ 167,097	\$ 1,231,294	\$ 12,364,442



TIMBERLAND REGIONAL LIBRARY

CONDENSED Draft FINAL BUDGET

2014 Projection AND 2015 Estimated Draft Final Budget - GENERAL FUND

	Projected 2014 Actual	2014 Budget	Draft Final 2015 Budget	2015 % of Total Budget
ESTIMATED REVENUES:				
Beginning Fund Balance for Operations	0	0	0	NA
Property Taxes	\$19,036,090	\$19,030,000	\$19,450,000	89%
City Contract Fees	86,098	109,417	103,667	0%
Timber Taxes and Sales	1,642,978	1,350,000	1,409,089	6%
Interest on Investments	49,809	45,000	44,000	0%
Fines	296,141	322,000	289,000	1%
Photocopy Fees	25,128	22,500	25,000	0%
Other Revenues	441,712	714,550	539,877	2%
TOTAL	<u>\$21,577,956</u> =====	<u>\$21,593,467</u> =====	<u>\$21,860,633</u> =====	<u>100%</u> =====
BUDGETED EXPENDITURES:				
Salaries and Benefits	\$14,742,829	\$15,299,883	\$15,297,187	69%
Supplies	370,432	448,239	374,848	2%
Other Services and Charges	2,030,800	2,084,914	2,274,048	10%
Intergovernmental	1,261	1,200	1,300	0%
Capital Expenditures - Nonbooks	426,964	448,079	667,071	3%
Cap. Expend. - Books and Materials	3,440,851	3,440,935	3,484,920	15.8%
SUB-TOTAL (Operating Expend.)	<u>21,013,137</u>	<u>21,723,250</u>	<u>22,099,374</u>	<u>100%</u>
Operating Transfers-Out	450,000	450,000	633,000	=====
Ending Fund Bal (Future Reserves)	114,819	(579,783)	(871,741)	
TOTAL	<u>\$21,577,956</u> =====	<u>\$21,593,467</u> =====	<u>\$21,860,633</u> =====	
ESTIMATED BEGINNING FUND BALANCE:				
January 1	\$7,961,638		8,076,457	
Rev. Over/(Under) Total Exp.	114,819		(871,741)	
December 31	8,076,457		<u>7,204,716</u>	
Less: Assigned Beginning Bal.	(7,423,050)			
Estimated Unassigned End Bal.	<u>653,407</u>			

TIMBERLAND REGIONAL LIBRARY

2015 ESTIMATED REVENUES, EXPENDITURES, AND FUND BALANCES

Draft Final - November 19, 2014 - ALL FUNDS

	General Fund	Building Fund	Auto. Circ. Fund	Unemp. Fund	Gift Fund	Total Funds
ESTIMATED REVENUES:						
Property Taxes	19,450,000	0	0	0	0	19,450,000
Other Revenues	2,410,633	10,500	4,000	1,000	51,000	2,477,133
Total Proj. Revenues	21,860,633	10,500	4,000	1,000	51,000	21,927,133
Operating Transfers-In	0	300,000	300,000	33,000	0	633,000
Total Resources	21,860,633	310,500	304,000	34,000	51,000	22,560,133

APPROPRIATIONS:

Total Projected	22,099,374	444,300	215,627	25,000	45,000	22,829,301
Operating Transfer-Out	633,000	0	0	0	0	633,000
Intergovernmental	0	0	0	0	0	0
Reserve Increase (Dec)	(871,741)	(133,800)	88,373	9,000	6,000	(902,168)
Total Uses	21,860,633	310,500	304,000	34,000	51,000	22,560,133

Projected Fund Balances:

Fund Balance 01/01/15	\$ 8,076,457	\$ 2,275,000	\$ 702,000	\$ 167,000	\$1,230,000	\$ 12,450,457
Reserve Increase (Dec)	(871,741)	(133,800)	88,373	9,000	6,000	(902,168)
Fund Balance 12/31/15	\$ 7,204,716	\$ 2,141,200	\$ 790,373	\$ 176,000	\$ 1,236,000	\$ 11,548,290

Amount in Reserves, Benchmark Formulas:

2012 Calculated Beginning Assigned Balance	\$ 7,051,744
2013 Calculated Beginning Assigned Balance	\$ 7,794,702
2014 Calculated Beginning Assigned Balance	\$ 7,423,050

TIMBERLAND REGIONAL LIBRARY

CONDENSED ESTIMATED BUDGET

2014 Projection AND 2015 Draft Final Budget - GENERAL FUND

November 19, 2014



ESTIMATED REVENUES:

	2013 Actual	Projected 2014 Estimate	2014 Budget	Estimated 2015 Budget	2015 % of Total Budget	Projected 2016 Estimate	Projected 2017 Estimate
Property Taxes	\$18,636,255	\$19,036,090	\$19,030,000	\$19,450,000	89%	\$19,824,500	\$20,202,745
City Contract Fees	94,548	86,098	109,417	103,667	0%	75,389	76,143
Timber Taxes and Sales	1,656,040	1,642,978	1,344,500	1,409,089	6%	1,600,000	1,600,000
Interest on Investments	53,284	49,809	45,000	44,000	0%	45,000	45,000
Fines	339,968	296,141	322,000	289,000	1%	275,000	260,000
Photocopy Fees	23,874	25,128	21,200	25,000	0%	25,000	25,000
Other Revenues	303,766	441,712	721,350	539,877	2%	450,000	420,000
TOTAL	\$21,107,736	\$21,577,956	\$21,593,467	\$21,860,633	100%	\$22,294,889	\$22,628,888

BUDGETED EXPENDITURES:

	2013 Actual	Projected 2014 Estimate	2014 Budget	Estimated 2015 Budget	2015 % of Total Budget	Projected 2016 Estimate	Projected 2017 Estimate
Salaries and Benefits	\$14,524,804	\$14,742,829	\$15,299,883	\$15,297,187	69%	\$15,843,712	\$16,406,190
Supplies	337,154	370,432	448,239	374,848	2%	415,000	450,000
Other Services and Charges	2,106,289	2,030,800	2,084,914	2,274,048	10%	2,181,600	2,203,416
Intergovernmental	816	1,261	1,200	1,300	0%	1,200	1,200
Capital Expenditures - Nonbooks	298,295	426,964	448,079	667,071	3%	350,000	400,000
Cap. Expend. - Books and Materials	3,371,952	3,440,851	3,440,935	3,484,920	15.8%	3,530,000	3,645,000
SUB-TOTAL (Operating Expend.)	20,639,309	21,013,137	21,723,250	22,099,374	100%	22,321,512	23,105,806
Operating Transfers-Out & Other	2,030,000	450,000	450,000	633,000	=====		
Ending Fund Bal (Future Reserves)	(1,561,573)	114,819	(579,783)	(871,741)		(26,622)	(476,918)
TOTAL	\$21,107,736	\$21,577,956	\$21,593,467	\$21,860,633		\$22,294,889	\$22,628,888

			Estimated 2015 Budget	Projected 2016 Estimate	Projected 2017 Estimate
Beginning Fund Balance	\$9,523,212	\$7,961,638	\$8,076,457	\$7,204,716	\$7,178,094
Change	(1,561,573)	114,819	(871,741)	(26,622)	(476,918)
Ending Funding Balance	\$7,961,638	\$8,076,457	\$7,204,716	\$7,178,094	\$6,701,176
Minimum Beginning Assigned Balance 12/31/2014		\$7,423,050			
Unassigned Balanced 12/31/2014		\$653,407			

**TIMBERLAND REGIONAL LIBRARY
BOARD OF TRUSTEES POLICY**

	TITLE: FUND BALANCE MANAGEMENT	POLICY NUMBER: SUPERCEDES POLICY
	EFFECTIVE DATE: 1/23/2013	REVIEW DATE: 1/23/2016
		ORIGINATED BY: Business Office
		AUTHORIZED BY: Board of Trustees

1. Purpose: To provide direction on fund balance management for the orderly and efficient management and control of Timberland Regional Library's (TRL) operations.
2. Scope: This policy applies to financial reporting requirements related to budget review and adoption each year.
3. Definitions:

General Operating Fund: This fund is used to carry out TRL's normal operation and maintenance activities.

Building and Site Acquisition and Improvement Fund (Building Fund): This special purpose fund is used to accumulate financial resources restricted to the payment for building, maintaining and/or remodeling of TRL-owned library facilities, and to aid in the design and/or planning of city-owned TRL facilities.

Automated Circulation Fund: This special purpose fund is used to accumulate financial resources restricted to the payment for purchase and implementation of TRL's automated circulation system, library materials inventory control system, major purchases of computer equipment, and major purchases of telecommunications equipment.

Unemployment Fund: This special purpose fund is used to accumulate resources restricted to the payment for unemployment compensation benefits coverage in a self-insurance plan administered by the Washington State Department of Labor and Industries.

Assigned Fund Balance: Amounts TRL intends to use for a specific purpose.

Unassigned Fund Balance: Amounts available for any purpose; these amounts are available only in the General Operating Fund.

4. Background: Fund balance allocations between the General Operating and special purpose funds are limited to those required to meet accounting requirements and planning needs.
5. Policy:

- b. It shall be TRL's policy to accumulate financial resources for potential future uses in the special purpose funds: Building Site Acquisition and Improvement Fund, Automated Circulation Fund, and Unemployment Fund. Consequently the assigned fund balance in each shall have no minimum balance requirement.
 - c. It shall be TRL's policy to transfer the unassigned beginning fund balance to TRL's special purpose funds as part of the annual budget process.
 - d. If General Operating Fund reserves are depleted so that a minimum beginning fund balance is not possible, a plan for restoration shall be developed for the Board of Trustees' approval in order to restore the balance over time. The restoration plan may include such recommendations as expenditure adjustments, fee adjustments, and/or transfers from the special purpose funds into the General Operating Fund as may be appropriate.
2. Citation: GASB 54.
3. By the enactment of this policy the Board of Trustees for the Timberland Regional Library concurrently rescinds any prior policy within the Library that is either in conflict with or expansive of the matters addressed in this policy.

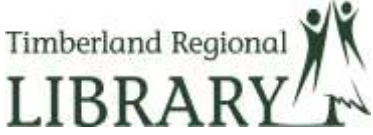
Approved by the Board of Trustees.

President, Board of Trustees

Date



**TIMBERLAND REGIONAL LIBRARY
BOARD OF TRUSTEES POLICY**

	TITLE: STRUCTURALLY BALANCED BUDGET POLICY	POLICY NUMBER:
		SUPERCEDES POLICY
EFFECTIVE DATE: 10/29/2013	REVIEW DATE: 10/29/2016	ORIGINATED BY: Business Office AUTHORIZED BY: Board of Trustees

1. Purpose: To provide direction for achieving and maintaining structural balance where recurring revenues are equal to recurring expenditures in the adopted budget.
2. Scope: This policy applies to financial reporting requirements related to budget review and adoption each year.
3. Definitions:

General Operating Fund: This fund is used to carry out TRL's normal operation and maintenance activities.

Sustainability: Meeting the needs of the present without compromising the ability of future generations to meet their own needs.

Recurring revenues: Recurring revenues are the portion of TRL's revenues that can reasonably be expected to continue year to year, with some degree of predictability.

Recurring expenditures: Recurring expenditures should be those that you expect to fund every year in order to maintain current/status quo service levels.

Reserves: Reserves are the portion of fund balance that is set aside as hedge against risk.

4. Background: A budget that is structurally balanced will support sustainability for multiple years into the future and clarify that a specific decision, or set of decisions, can be considered sustainable. There is a distinction between satisfying the statutory definition of a balanced budget and a true structurally balanced budget.
5. Policy:
 - a. It shall be Timberland Regional Library's policy for structural balance of the General Operating Fund budget, where recurring revenues equal or exceed recurring expenditures in the adopted Final Budget.
 - b. It shall be TRL's policy to identify how recurring revenues are aligned with, or not aligned with, recurring expenditures through the budget presentation.

balancing actions that may be taken. The plan will be clear about the time period over which returning to structural balance, replenishing reserves, and remediating the negative impacts of balancing actions are to occur.

- d. Ending General Fund balance must meet minimum Fund Balance Management policy requirements.
2. Citation: Fund Balance Management Policy.
3. By the enactment of this policy the Board of Trustees for the Timberland Regional Library concurrently rescinds any prior policy within the Library that is either in conflict with or expansive of the matters addressed in this policy.

Approved by the Board of Trustees.

**Timberland Regional Library
Alignment of Recurring Revenues and Recurring Expenditure
2015 General Fund Draft Final Budget
November 19, 2014**

Total 2015 Revenues	Recurring Revenue	One-Time Revenues
\$21,860,633	\$21,793,744	\$89,089 Formula-Increase Timber Estimate \$7,800 Work Study/Cont Ed Grants
Total 2015 Expenditures	Recurring Expenditures	One-Time Expenditures
\$22,099,374	\$21,931,774	\$56,000 Cisco Smartnet Maint \$21,600 Ironport Subscription \$30,000 Web Re-design Services \$10,000 Innovation Task Force \$50,000 Youth Area Refreshener
Gen Fund Reserve Inc/(Dec)		
(\$238,741)	(\$138,030)	

1. Ending General Fund balance met calculated requirements in policy. Transfers of \$633,000 planned.
2. TRL estimates wages and benefits assuming 100% employment. Category is underspent in an average year by a range of 1.7% - 2.8%. \$138,000 represents .9% of wages and benefits.
3. Major timber receipts received in excess of \$1.6 million 2012-2014. Timber receipts Estimated at \$1.4 million.
4. Long-term considerations, if a plan is mandated: e-rate as non-recurring revenue; levy buy-back; added service points; investments in public furniture, etc.

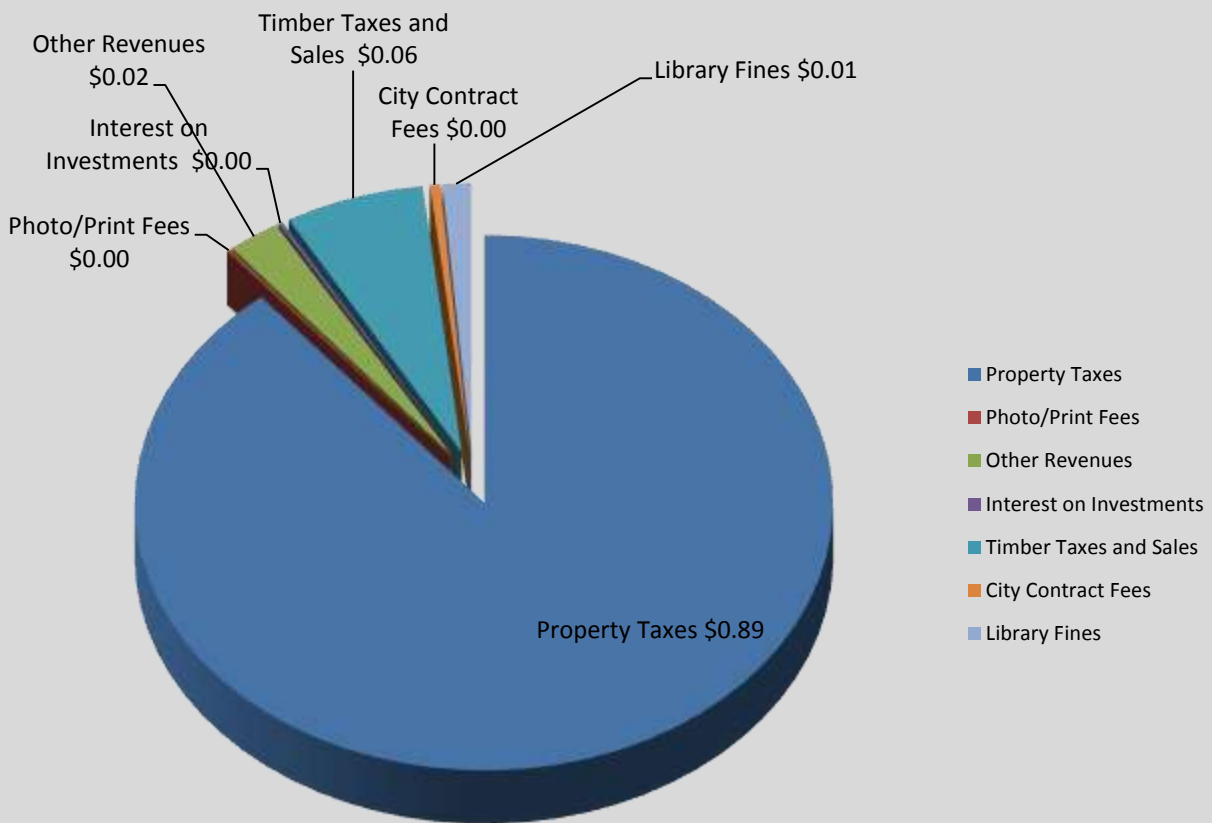
TIMBERLAND REGIONAL LIBRARY

General Fund - 2015 Estimated Revenues

Draft Final - November 19, 2014

		Actual	Actual	Budget	In(De)crease	<Draft Final>
		<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>Budget '14</u>	<u>Budget '15</u>
General Fund 657.00						
308.00	Estimated Beginning Fund Balance	0	0	0	0	0
311.10	Property Taxes	18,197,859	18,636,255	19,030,000	420,000	19,450,000
311.30	Sale of Tax Title Property	0	538	0	0	0
312.10	Timber Harvest Tax	759,963	806,704	540,000	119,089	659,089
317.20	Leasehold Excise Tax	43,346	53,333	41,500	21,500	63,000
333.45	Indirect Federal Grants - Cont Ed.	1,500	2,743	2,500	500	3,000
333.84	Indirect Federal Grants - Work Study	9,816	6,866	7,500	(2,700)	4,800
333.84	Indirect Grants - Other	18,110	70,640	0	0	0
335.23	State Forest Land	281,471	134,952	150,000	(10,000)	140,000
337.01	In Lieu of Taxes	23,798	14,718	9,500	500	10,000
338.72	City Contract Fees	150,636	94,548	109,417	(5,750)	103,667
341.60	Photocopy Fees	23,635	23,874	22,500	2,500	25,000
341.69	Printing Fees	7,431	9,873	10,000	(1,000)	9,000
341.70	Sale of Merchandise	1,067	1,737	1,700	(700)	1,000
347.20	Non-Resident Fees	7,004	5,765	5,800	0	5,800
347.90	Other Fees	890	1,272	1,050	0	1,050
359.70	Library Fines	348,908	339,968	322,000	(33,000)	289,000
361.15	Interest on Investments	72,698	53,284	45,000	(1,000)	44,000
361.90	Forest Board Interest	1,198	582	11,000	(11,000)	0
362.51	Forest Board Rentals	5,362	26,978	42,000	(34,500)	7,500
362.90	Other Rents	6,182	0	0	0	0
367.00	Contributions	3,846	4,242	5,000	0	5,000
369.81	Cashier's Overages and (Shortages)	381	680	0	0	0
369.90	Other Miscellaneous Revenue	8,819	12,207	12,000	(4,500)	7,500
369.91	Sale of Junk or Salvage	43,852	9,782	11,000	19,800	30,800
389.00	Other Non-Revenue	222,136	7,104	490,000	(170,573)	319,427
395.11	Timber Sales/State Forest Board	506,399	476,483	480,000	(10,000)	470,000
395.12	Timber Sales/County	89,490	253,209	180,000	(40,000)	140,000
395.30	Comp. for Loss of Fixed Assets	68,848	66,502	64,000	8,000	72,000
	Total Receipts	20,904,643	21,114,840	21,593,467	267,166	21,860,633
	Estimated Beginning Fund Balance	0	0	0	0	0
	Total Revenue and Fund Bal.	20,904,643	21,114,840	21,593,467	267,166	21,860,633

How Timberland Regional Library Earns Each \$1.00



TIMBERLAND REGIONAL LIBRARY

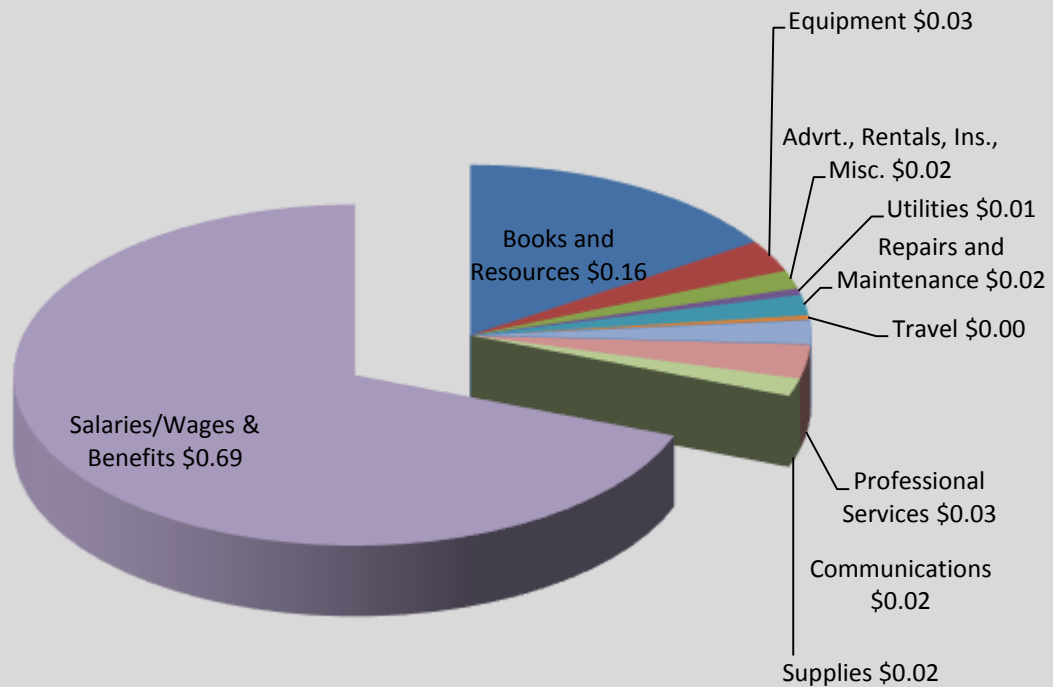
General Fund - 2015 Estimated Expenditures

Draft Final - November 19, 2014

		Actual	Actual	Budget	In(De)crease	<Draft Final>
		2012	2013	2014	Budget '14	Budget '15
General Fund 657.00						
572.XX.00	Reclassification and Cost Allocation	(222,136)	(7,104)	0	0	0
0.10	Salaries & Wages	10,606,173	10,893,344	11,308,921	(31,006)	11,277,915
0.20	Personnel Benefits	3,447,533	3,631,460	3,990,962	28,310	4,019,272
0.30	Supplies	316,347	337,154	448,239	(73,391)	374,848
	Other Services and Charges:					
0.41	Professional Services	627,056	704,473	638,518	81,196	719,714
0.42	Communications	443,340	584,213	531,500	(36,200)	495,300
0.43	Travel	84,491	77,223	98,125	6,650	104,775
0.44	Advertising	19,527	21,722	27,500	(8,000)	19,500
0.45	Operating Rentals	104,137	100,125	101,974	4,715	106,689
0.46	Insurance	70,137	80,428	86,077	(16,372)	69,705
0.47	Utilities	134,789	128,966	138,500	(1,000)	137,500
0.48	Repairs and Maintenance	280,345	300,007	311,623	117,086	428,709
0.49	Miscellaneous	113,989	116,235	151,096	41,060	192,156
0.40	Total Other Services and Charges	\$1,877,812	\$2,113,393	\$2,084,914	\$189,134	\$2,274,048
0.50	Inter-Governmental	1,095	816	1,200	100	1,300
0.60	Capital Expenditures - Non Book	375,437	298,295	448,079	218,992	667,071
	- Books and Materials	3,087,572	3,371,952	3,440,935	43,985	3,484,920
Total		19,489,833	20,639,309	21,723,250	376,124	22,099,374
507.XX.00	Transfer Out	300,000	2,020,000	450,000	183,000	633,000
397.XX.00	Transfer In	0	0	0	0	0
589.XX.00	Other Non-Expenditures	0	10,000	0	0	0
Estimated Ending Fund Balance (Use of Reserve)		1,114,810	(1,554,469)	(579,783)	(291,958)	(871,741)
Total Expenditures & Fund Balance		20,904,643	21,114,840	21,593,467	267,166	21,860,633



How Timberland Regional Library Spends Each \$1.00



TIMBERLAND REGIONAL LIBRARY

2015 Building Fund - Estimated Resources & Expenditures

Draft Final Budget - November 19, 2014

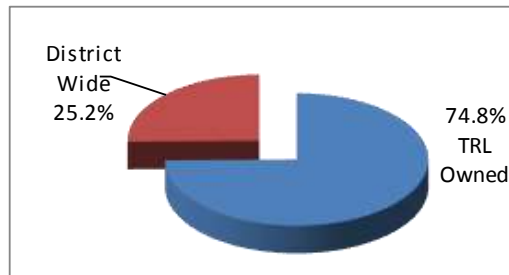
2015 Estimated Resources:

10,500	Investment Interest
300,000	Operating Transfers-in
133,800	Fund Balance Reserve Decrease
<u>444,300</u>	Total Building Fund Resources

2015 Estimated Expenditures:

12,000	General Bookdrop
25,000	ADA Projects
20,000	Energy Efficiency
35,000	Signage
20,000	Space Planning
60,000	Amanda Park-Walkway
10,800	Hoodsport - Paint Meeting Room/Hillside Maintenance/Window
20,000	Montesano - Carpet Replace
9,300	Naselle - Walk-off Mat/Light Pole /Texture Sidewalk/Window
15,000	Ocean Park - Parking Lot Overlay
16,200	Salkum - Heat Pump/Public Bathroom Floors
101,000	Service Center - Heat Pump/Parking Lot Repair/AV Install Meeting Room
100,000	Emergency Contingency
<u>444,300</u>	

Please note that all projects are subject to further review and policy requirements.



TIMBERLAND REGIONAL LIBRARY

2015 Automated Circulation System Fund - Estimated Resources & Expenditures

Draft Final Budget - November 19, 2014

2015 Estimated Resources:

4,000	Investment Interest
300,000	Operating Transfers-In
	Fund Balance
<u>304,000</u>	Total Automated Circulation Resources

2015 Estimated Expenditures:

Capital Expenditures - TRL:

22,827	Hardware - Replacement of Hyer V Servers
30,436	Backup Server/Backup Software
41,029	LAN Controller/Switches/Fiber Transceivers/Exchange Databases
29,023	Cisco Replacements/Cisco Light Weight Access Points
31,343	Software and Licenses - Winders Server/Exchange Server/etc.
6,565	System Center Configuration Manager
54,404	Other - Unanticipated/Licenses/Maintenance
88,373	Fund Balance Reserve Increase

304,000

304,000 **Total Auto Circulation Fund Uses**



Revenues/Expenditures/Fund Balance

REVENUES/EXPENDITURES/FUND BALANCE

The 2015 budget was developed on the broad assumption that 90% of all resources would derive from property tax revenues and that those taxes would remain stable and supplemented by an authorized levy increase of 1% in addition to new construction and a conservative estimate for Major Timber Revenues.

31x. Taxes

	2015 Budget	% of Budget	2014 Projected Actual
Property Taxes	\$19,450,000	88.97%	\$19,036,090
Timber Harvest Tax	\$659,089	3.01%	\$704,488
Leasehold Excise Tax	\$63,000	.29%	\$54,969
Total Taxes 31x.	\$19,611,500	92.22%	\$19,796,397

General property taxes are considered ad valorem taxes levied on an assessed valuation of real and personal property. General taxes make up 92.6% of total 2015 projected revenues, the detail for this category is provided in the table above. Real and Personal Property Taxes are the major line item for this category contributing 88.2% of all Library resources. Stable revenues contribute to a determined level for spending and the more dependable the projected revenue the less spending will be subject to unpredictable fluctuations.

Local property taxes remain at a constant level, contributing to a stable, anticipated spending level.

Property Taxes

Property taxes are anticipated to increase \$420,000 in the 2015 Budget from the 2014 Budget. The city of Toledo annexed into Timberland Regional Library November 2013. The first year of collection for the city is 2015. In addition, the City of Hoquiam will continue to pay the installments on a 10-year agreement for 2015 intergovernmental services. Actual calculated increases projected as follows:

<i>Existing Property Tax Receipts 1% Increase</i>	\$190,030
<i>New Construction Values for 2014 Collection</i>	\$180,643
<i>City of Toledo Addition</i>	\$18,000
<i>Administrative Refunds</i>	\$31,327
Total 2015 Variance from 2014 Property Taxes	<u>\$420,000</u>

Budget Year	Local Taxes % of Budget
2015	88.97%
2014	90.82%
2013	91.2%
2012	91.52%
2011	88.79%
2010	91.3%
2009	92.28%
2008	89.83%
2007	89.63%
2006	89.89%

The city of Toledo's tax base will, from this point forward, be part of the Library's regular property tax limit. This factor, coupled with the continued expectation for property values to remain flat, frames the anticipation of future new resources at minimal levels.

A recent history of the Library tax base shows that the assessed valuation for TRL in decline for the three previous consecutive years resulting in a loss of over \$6 million in assess valuation for the TRL. This year preliminary assessed values for the district have increased 3.44%.

New construction values vary year to year depending on property improvements generated by construction which include new homes, apartments or large commercial developments. For every \$1,000 of new construction the Library may levy at its current levy rate (41.569¢ for 2014 collection). State law does not apply the 1% limit for revenues received from new construction and, because the limit does not apply, new construction is an important factor to examine when predicting future resources.

For Year	New Construction	Resource Generated	% of Budget
2015	\$434,563,166 (estimate)	\$180,643	.83%
2014	\$419,751,271	\$174,197	.81%
2013	\$428,495,399	\$182,740	.87%
2012	\$498,085,025	\$177,756	.88%
2011	\$540,669,841	\$183,254	.93%
2010	\$822,979,589	\$270,925	1.44%
2009	\$1,505,735,153	\$514,208	2.73%
2008	\$1,648,071,114	\$643,077	3.59%
2007	\$1,018,860,271	\$436,581	2.46%
2006	\$836,044,089	\$378,658	2.32%
2005	\$975,497,564	\$458,191	2.81%
2004	\$645,914,400	\$310,814	2.0%

The levy rate of assessment, or millage rate, is based on Timberland Regional Library's assessed property value. The statutory limit is \$0.50 per \$1,000 of assessed valuation. Recent mill rates are trending upward; an inverse relationship to TRL's overall assessed valuation.

Since 2009 the millage rate is estimated to increase by 8.649 cents, leaving 8.431 cents as available capacity before reaching the statutory limit. If the 50 cent limit is reached, available resources will be subject to the decrease in property values within its boundary and create a need to manage expenditures at a drastically reduced level. Keep in mind that if Timberland Regional Library is at its full taxing authority it will not be able to receive revenue from property taxes on new construction.

The November 2014 Department of Natural Resources Forecast stated that new housing starts have stagnated, growth has stalled, and the US government has not implemented a growth-driven strategy. From these comments it seems remote that TRL will continue to see a strong growth trend for new construction values.

Timber Harvest Tax

Timber harvest tax represents county-levied tax on timber harvested from privately and publicly owned land. A more detailed examination of timber harvest tax will be included with Major Timber Revenues.

Leasehold Excise Tax

These are taxes on property owned by state or local governments and leased to private parties. Receipts were at a high of \$77,788.27 in 2010 and a low of \$39,850 in 2008. Leasehold excise taxes are projected to reach \$54,970, or \$13,470 above the estimated amount for 2014 receipts. For this reason the 2015 projection is estimated above the level of 2014.

For Year	Mill Rate (In cents)
2015	40.000 Estimate
2014	41.569
2013	41.5
2012	38.3
2011	35.688
2010	33.894
2009	32.92
2008	34.15
2007	39.02
2006	42.85

33X. Intergovernmental Revenues

	2015	% of Budget	2014 Projected Actual
Indirect Federal Grants	\$7,800	.04%	\$9,005
State Forest Land	\$140,000	.64%	\$140,175
In Lieu of Taxes	\$10,000	.05%	\$22,462
City Contract Fees	\$103,667	.47%	\$86,098
Total	\$261,467	1.2%	\$257,740
Intergovernmental			

Intergovernmental revenues include grants, entitlements, shared revenues and payments for goods and services provided by one government to another (Please note that grants from private sources are included in account 367, contributions). Intergovernmental revenues represent a 1.2% source of funding for the 2015 budget.

State Forest Land

Represents counties' share of proceeds from leases and sales of products and timber from state forest lands managed by the Department of Natural Resources. A more detailed examination for state forest land resources will be included with Major Timber Revenues.

City Contract Fee

This account is used to record revenue derived from providing library services to contracting cities. Two cities continue to contract for library services, Winlock and Raymond, however the city of Winlock annexed November 2014. The 2015 contract for library services for the city of Winlock will be extended for 10-years, similar to the City of Hoquiam's 2012 contract for library services. Both the city of Hoquiam and the city of Winlock will make payment on 10-year agreements for library services received in 2015.

<u>34X. Charges for Goods and Services</u>			
	2015	% of Budget	2014 Projected Actual
Fees for Goods/Services	\$41,850	.47%	\$42,178

Charges for services rendered include photocopy fees, printing fees, non-resident fees and sale of goods.

Sale of Merchandise

This account includes the sale of TRL logo goods and various other vending supplies.

Non-resident Fees

Timberland library cards are available to anyone living or owning property in the unincorporated areas of Timberland's 5-county service area: Grays Harbor, Lewis, Mason, Pacific, and Thurston. In addition, anyone living or owning property in cities in the 5-county area that are annexed to or contract with Timberland for library service. This includes all cities except: Mossyrock, Napavine, Ocean Shores, Pe Ell, and Vader. Residents of non-contracting, non-annexed cities or towns in the TRL service area, or residents of areas not covered by a reciprocal borrowing agreement, may purchase non-resident cards. Non-resident cards are issued for each individual within a household, but only one fee is charged per household. Although the City of Winlock annexed there is no impact to the projection for non-resident revenue.

35X. Non-court Fines, Forfeitures, and Penalties

	2015	% of Budget	2014 Projected Actual
Library Fines	\$289,000	1.32%	\$296,141

Library Fines

Starting on October 1, 2009, Timberland began charging fines for overdue items. Overdue fines encourage patrons to return library items by the due date, making them available sooner to other patrons and reducing the amount Timberland has to spend for additional copies of popular items. Overdue fines help support ongoing library services as well.

All materials returned after the due dates are considered late and subject to fines. The daily fine for any item, whether book, DVD or other physical item is \$.15. There are no fines associated with e-books as they are automatically deleted from the customer's device at the end of the loan period.

The level of collection for library fines has been stable since the start date, representing an acceptable charge for holding materials past the due date. In July 2010, patrons were offered an opportunity to pay fines online using their credit/debit cards making the patron experience for managing fines even more fluent. However, increases in electronic collections and an added due date reminder to patrons four days before an item is due has caused a decrease in the level of collection.

36X. Miscellaneous Revenues

	2015	% of Budget	2014 Projected Actual
Miscellaneous Revenue	\$94,800	.43%	\$116,426

Interest on Investments

The Library uses the Thurston County Treasurer's Office as its fiscal agent. Investment of surplus cash is made with the Thurston County Investment Pool. The Pool's yield for October 2014 is .59%, compared to the Local Government Investment Pool's yield of .09%.

Other Miscellaneous Revenue

Timberland uses a collection agency for library accounts that have fines and fees of \$50 or more for 30 days. If a patron's account is sent to the collection agency a non-refundable collection agency fee of \$10

is assessed. If a patron's account accrues \$10 or more in fines or fees the patron is no longer able to check out items.

Collection agency fee receipts in 2008 were \$20,035 and the estimate for 2015 is \$7,500. The reduction is due to patrons managing their accounts closer, the impact from the fines reduction, and the increase in electronic content.

Sale of Junk of Salvage

The Library sends surplus books to an online vendor which then sells materials on Amazon.com and a portion of the proceeds are received by the Library. Surplus equipment is sent to the Washington State Surplus Store where proceeds are received by the Library if sales exceed a certain amount. Surplus vehicles are sold via auction. Revenue from sale of surplus materials fluctuates and is budgeted accordingly.

38X. Non-revenues

	2015	% of Budget	2014 Projected Actual
Non-revenues	\$319,427	1.46%	\$193,905

Other Non-revenue

This account is used to identify non-revenue receipts which are not included elsewhere. A change in accounting method was instituted in 2013 for the receipt of federal E-rate telecommunications discount rebates. E-rate rebate payments are received directly from the vendor and not posted as a credit on the invoice, as had been past practice. This change was initiated to help in matching the year of application for E-rate rebates to the year of receipt for more consistent measurement.

39X. Other Financing Sources

	2015	% of Budget	2014 Projected Actual
Timber Sales – State/County	\$610,000	2.81%	\$798,315
Compensation for Loss of Fixed Assets	\$72,000	.33%	\$76,853
Total Other Financing Sources	\$682,000	3.12%	\$875,168

Timber Sales/State Forest Board and Timber Sales/County

This account is used for the proceeds from timber sales owned by the municipality. A more detailed examination of timber harvest tax will be included with major timber revenues.

Compensation for Loss of Fixed Assets

This account is used to record proceeds from lost or damaged materials. Replacements costs are charged for items that are 28 days overdue. Damage fees are charged for items that are damaged while checked out. Staff inspect items for damage when they are returned so that a patron will not be charged for damage that occurred before the item is checked out. Estimates for this category continue to remain constant with fines and e-content mitigating growth.

Major Timber Revenues

Major timber revenues apply to the excise tax on timber harvested from any private or public lands within Timberland Regional Library. A five percent timber excise tax is collected from the timber harvester and paid to the Washington State Department of Revenue.

Timber tax is composed of a four percent county tax and a one percent state tax. The county portion is distributed back to the county where the timber was harvested and helps fund capital projects, voter-approved bonds, school maintenance and operations, county roads, libraries and fire districts. Timberland Regional Library is becoming more and more dependent on Major Timber Revenues for support of its operations.

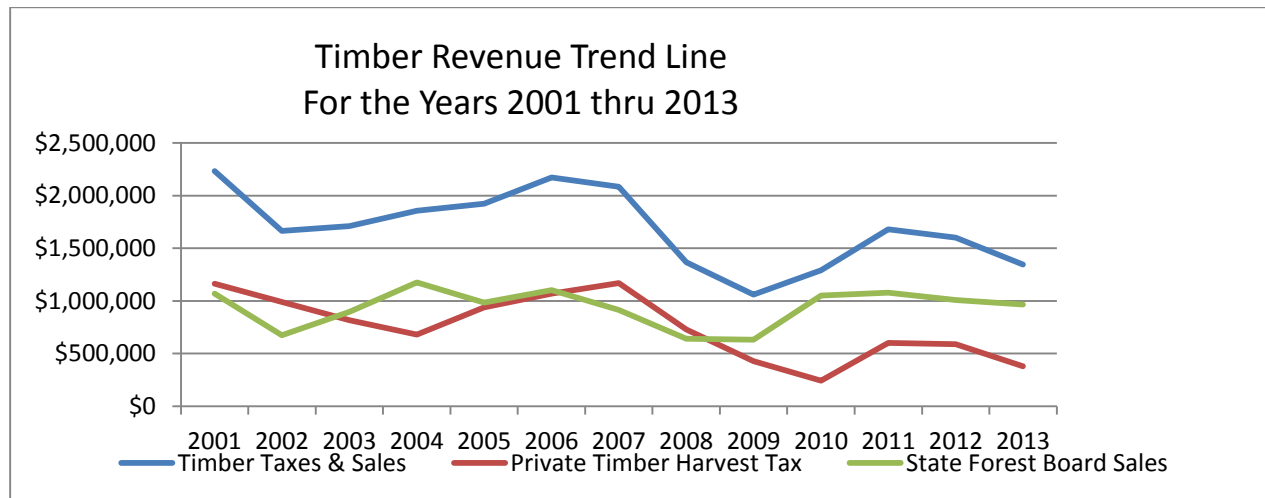
2015 Major Timber Revenue is estimated to be \$1,409,089, which is 6.45% of the 2015 budget. 2014 resources are projected to be \$1,642,978, or 7.6% of actual 2014 receipts. The other years represented are actual amounts.

When estimating 2014 Major Timber Revenue, consideration was given to the unpredictability of the source. Also considered was the degree of risk to the Library's financial outlook for an incorrect estimate, in other words if Timber revenue is received at amounts greater than expected they help fund long-term planning, a low risk. But if received at amounts lower than expected the impact could affect the Library's ability to deliver services, a high risk.

According to the Washington State Department of Natural Resource Economic and Revenue Forecast for November 2014, forecast timber revenue is revised downward 4% due to the

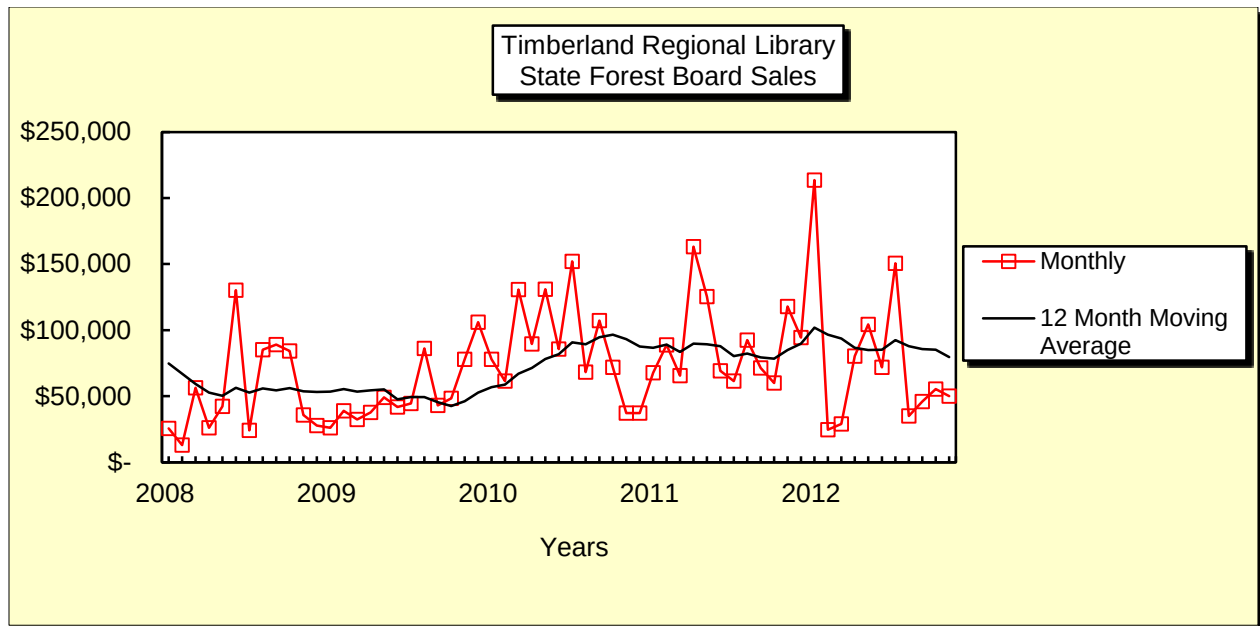
For Year	Major Timber Revenues	% of Budget
2014 estimate	\$1,350,000	6.25%
2013	\$1,671,347	7.9%
2012	\$1,680,220	8.0%
2011	\$1,680,051	8.3%
2010	\$1,292,122	6.6%
2009	\$1,059,399	5.7%
2008	\$1,368,286	7.5%
2007	\$2,085,185	11.5%
2006	\$2,173,950	12.4%

drop in timber sales prices and moderate changes to the timing for timber removals. With this in mind, it was determined to estimate 2015 Major Timber Revenues at amounts that can be relied upon.



Major Timber Revenues fluctuate greatly, but a predictable minimum base can be determined as the 2009 receipt of \$1,059,000; it is reasonable to anticipate that total 2014 receipts will not go lower. The standard deviation for timber receipts from 2001 to 2013 is \$370,000. The standard deviation added to the predictable minimum base of \$1,059,000, adjusted for an anticipated downward DNR forecast of 4%, is a result utilized to estimate 2014 Major Timber Revenue at \$1,350,000.

	Timber Taxes & Sales	Private Timber Harvest Tax	State Forest Board Sales	Ratio Priv/State
2001 Timber Taxes & Sales	2,233,215.30	1,163,946.10	1,069,269.20	1.09
2002 Timber Taxes & Sales	1,664,621.74	990,260.01	674,361.73	1.47
2003 Timber Taxes & Sales	1,712,084.01	816,400.65	895,683.36	0.91
2004 Timber Taxes & Sales	1,855,237.39	679,612.15	1,175,625.24	0.58
2005 Timber Taxes & Sales	1,923,854.50	938,343.14	985,511.36	0.95
2006 Timber Taxes & Sales	2,173,950.12	1,070,343.00	1,103,607.12	0.97
2007 Timber Taxes & Sales	2,085,185.38	1,169,502.42	915,682.96	1.28
2008 Timber Taxes & Sales	1,368,285.84	728,866.01	639,419.83	1.14
2009 Timber Taxes & Sales	1,059,398.90	427,726.14	631,672.76	0.68
2010 Timber Taxes & Sales	1,292,122.03	118,649.69	796,574.04	0.15
2011 Timber Taxes & Sales	1,680,050.78	602,343.23	1,077,708.55	0.56
2012 Timber Taxes & Sales	1,680,220.00	722,927.69	957,292.31	0.76
2013 Timber Taxes & Sales	1,344,500.00	379,500.00	965,000.00	0.39



SUMMARY OF EXPENDITURES AND EXPENDITURE ASSUMPTIONS

	2015	% of Budget	2014 Projected Actual
Personnel	\$15,297,187	69.22%	\$14,742,830
Supplies	\$374,848	1.7%	\$370,432
Other Services & Charges	\$2,275,348	10.29%	\$1,838,154
Books and Materials	\$3,484,920	15.77%	\$3,440,851
Capital Expenditures, Non-book	\$667,071	3.02%	\$426,964
Total	\$22,099,374	1.73%	\$20,819,232

The budget is made up of five major areas of operating expenditure, two categories deserve detail examination. In past years the Library applied the goal of 16% of revenues to budget for Materials (books, CDs, DVDs, and electronic resources). Also, personnel costs have remained consistent over the last few years despite the upward inflationary pressures from benefit costs and salary adjustments.

Allocation of Budgeted Costs (2015-2007):

	2015	2014	2013	2012	2011	2010	2009	2008	2007
Personnel	69.22%	70.43%	69.99%	70.78%	70.74%	72.12%	72.74%	71.23%	70.33%
Materials	15.77%	15.84%	15.9%	15.28%	13.74%	14.05%	13.69%	14.69%	15.21%

Personnel costs

Personnel costs account for nearly 70% of anticipated expenditures and pay for staffing the Library to meet its mission and operating goals. The change for 2015 from the 2014 budget is an increase of \$437,723, or 2.95%.

The Library budgets at full-employment where each position is considered funded for the full-year at its current step and grade. There is no consideration given for the realities of retirements, resignations, terminations, the amount of time it takes to fill vacancies, or re-hiring at lower steps.

2014 Estimated Personnel Detail:

	2015	2014	%
	Budget	Budget	Change
Salaries and Wages	11,207,297.73	11,238,303.45	-0.28%
Extra Hours/Substitutes	70,618.03	70,618.03	0.00%
Industrial Insurance	72,725.79	73,144.47	-0.06%
Medical Insurance	1,722,632.39	1,787,267.98	-3.6%
FICA	860,842.47	863,278.43	-0.28%
PERS	1,121,363.66	1,023,949.02	9.5%
Dental Insurance	190,123.20	189,154.92	0.5%
Other Benefits	51,584.76	54,167.28	-4.76%
Total	<u>15,297,188.03</u>	<u>15,299,883.58</u>	0.00%

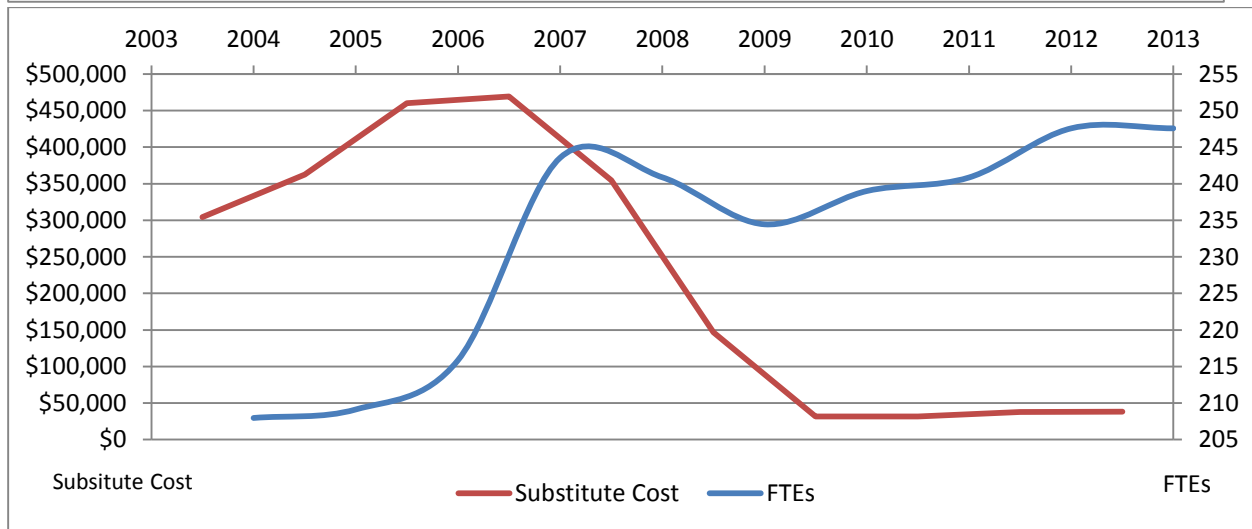
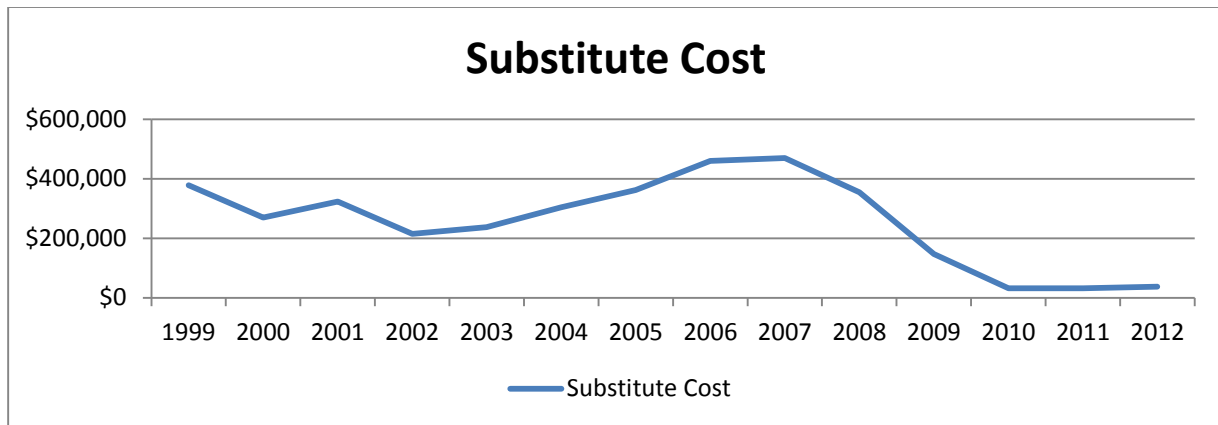
The total change for salaries and benefits from the previous budget year of 2014 is 0.00%, or (\$2,695.55).

Salaries and Wages

Staffing includes all full and part-time personnel located in all locations

Extra Hours/Substitute

Extra/Substitute cost is a factor based on past year averages meant to capture the use of extra hours and substitutes to fill vacant FTEs.



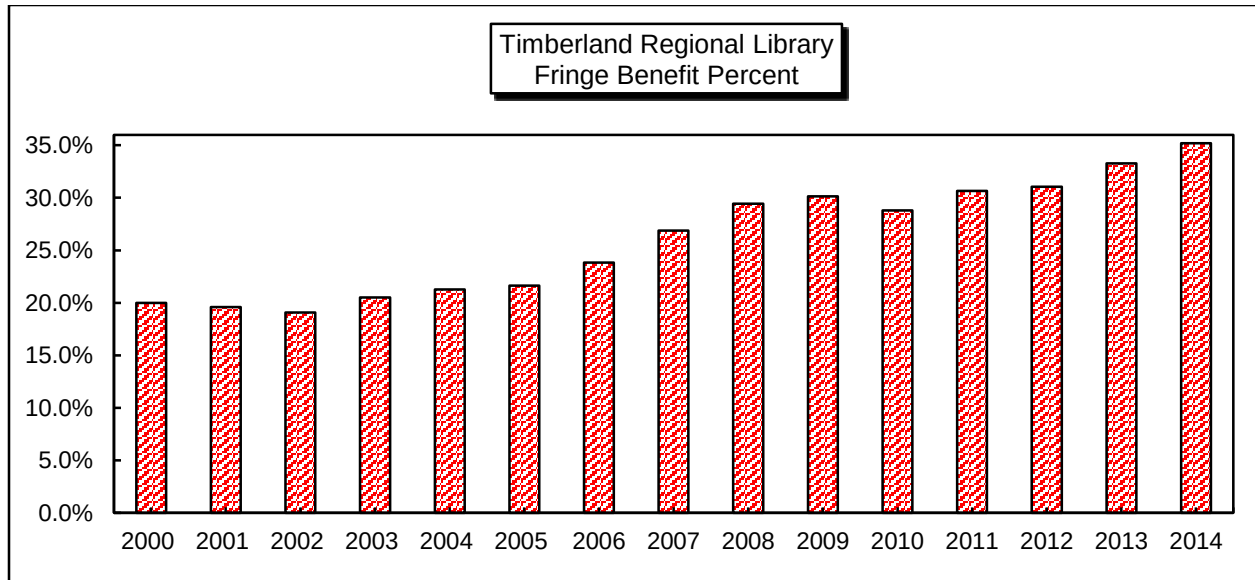
Benefits

Benefits as a category include medical and dental costs, retirement, payroll taxes, vision, basic life insurance, long-term disability, and an employee assistance program.

The Legislature passed retirement rates for 2014. The Library will budget at the Pension Funding Council proposal of 9.21%. Contribution rates for the last few years have been as follows:

July 2015 – July 2017	11.00%
Sept 2013 – Dec 2014	9.21%
July 2013 - Aug 2013	9.19%
July 2012 - June 2013	7.21%
July 2011 - June 2012	7.21%
July 2010 - June 2011	5.31%

The increase from 9.21% to 11.00% for PERS contributions has resulted in an additional \$99,319 to the 2015 budget for estimated personnel costs.



The 2015 benefit margin is projected to be 35.6%, an increase from the 2014 margin of 35.3%.



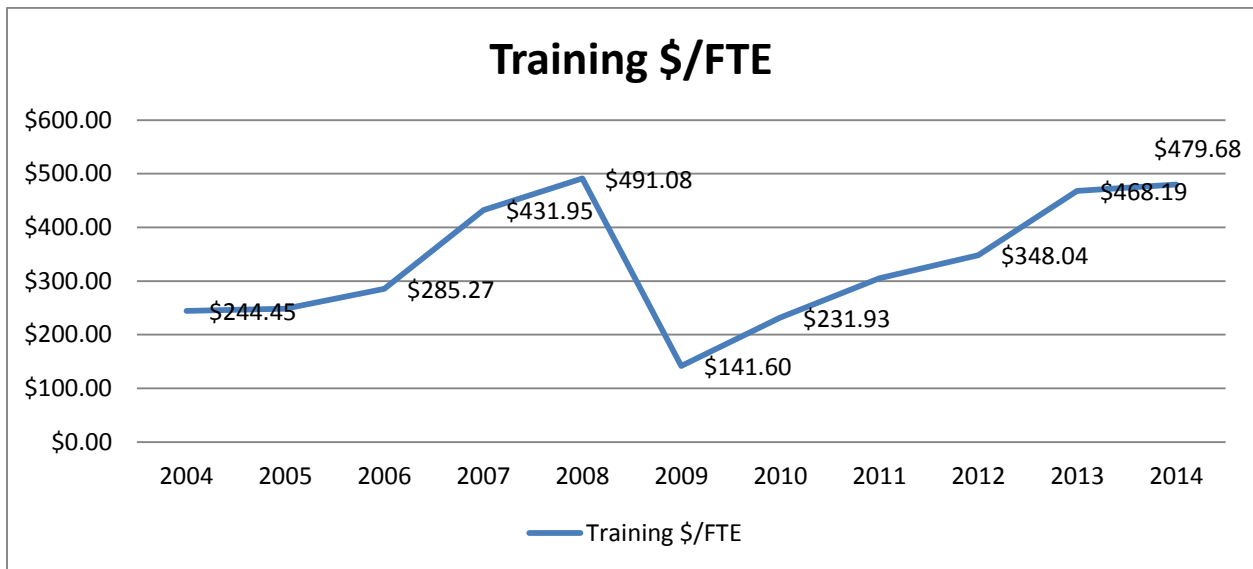
Supplies

This category represents articles and commodities purchased for consumption by the various departments or as part of public services. It also includes fuel for the courier vehicles and small tools utilized by the Facilities department.

Other Services and Charges

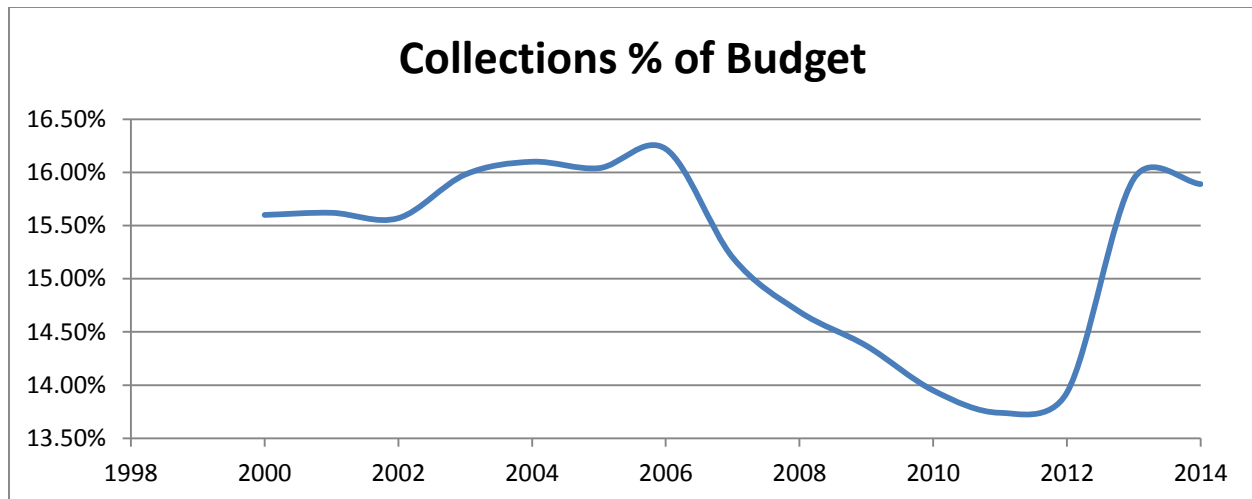
This category is meant to capture the other various aspects to operations including professional services, communications, travel, advertising, operating rentals, insurance, utilities, repairs and maintenance and miscellaneous. The 2015 estimate for this category is a decrease of 2.95% from the 2014 estimate. Communications will not include the rebate for E-rate telecommunications discount; the anticipated rebate will be shown on the revenue side of the financial statements and not the expenditure side.

The element for training is set to remain consistent with last year's budget as staff development is one of the 2015 budget priorities.

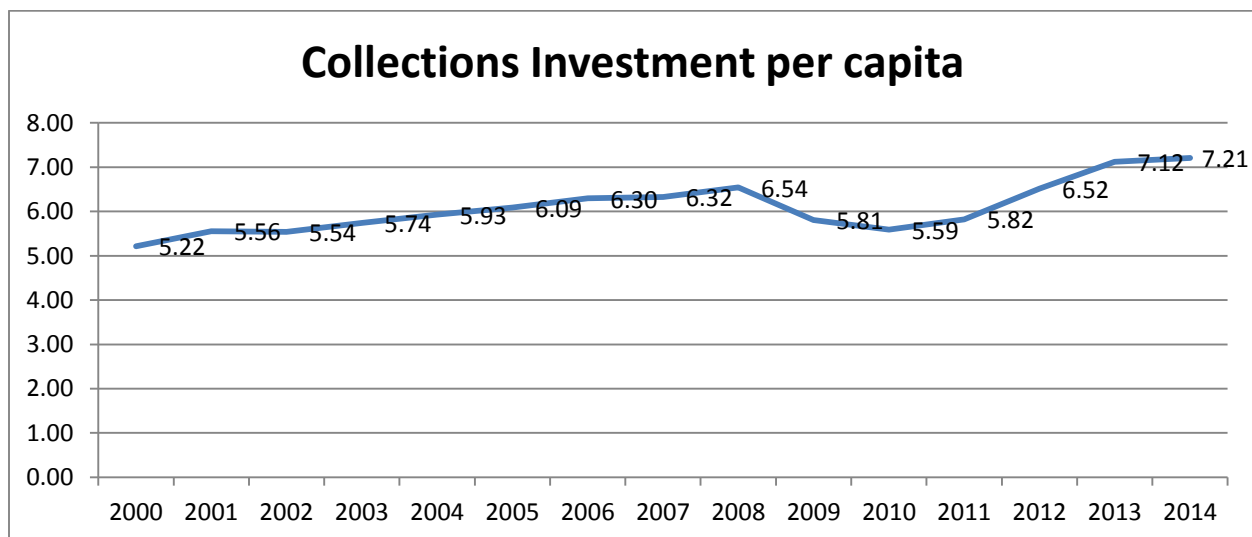


Books and Materials

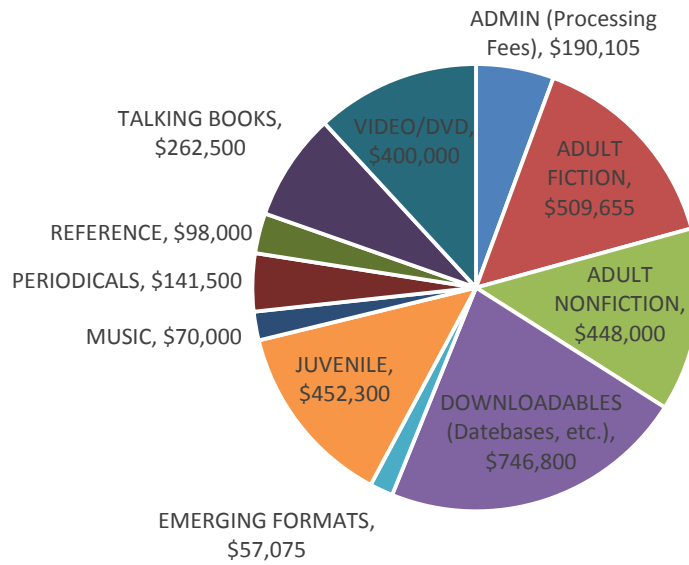
Collection materials include purchases of materials for use by the public. It includes print material, machine readable material, audio-visual material, other materials, and processing charges. Books and materials will be 15.77% of the 2015 budget.



Collections investment per capita has steadily risen over the last four years.



2013 Budgeted \$3,375,935.00



Tenino Entry Sign

Carved by local stonemason Keith Phillips using sandstone from the Tenino sandstone quarry

SUMMARY OF GENERAL FUND BALANCE

Past practice has held that, by default, all sources of unexpended revenues not held for special purpose, such as those related to grants, are released into the General Fund at year-end unless the Board takes action to identify and approve use of fund balance to support the special purpose funds, or the funds restricted for specific purposes such as the Building Fund and Auto-circulation Fund.

The General Fund balance is a key tool for managing the Library's cash flow. Should the General Fund balance get too low, not enough funds are available to pay for the first four or five months of each year (until tax collections are received), requiring the Library to borrow from other sources through Board action.

In 2009, the Government Finance Officers Association (GFOA) released an updated policy statement on cash reserves (Fund Balance). GFOA recommends a Fund Reserve policy to address one or more of the following 5 factors:

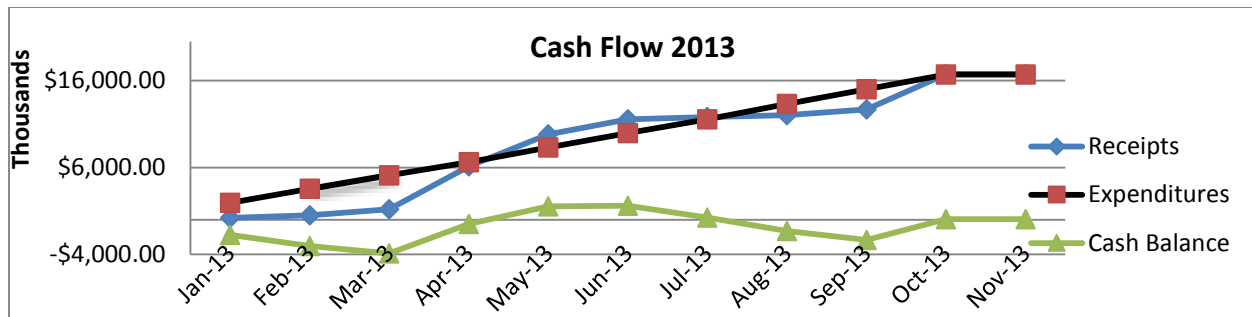
1. Predictability of revenues and the volatility of expenditures – higher fund levels may be needed if there are unpredictable fluctuations in revenues, or expenditures are volatile.
2. Perceived exposure to significant one-time outlays (e.g., disasters, state budget cuts, immediate capital outlay needs).
3. Potential drain upon general fund resources from other funds. In other words, deficits in other funds may require that a higher level of fund balance be maintained.
4. Liquidity, or the disparity between when financial resources become available to make payments and the average maturity of related liabilities, may require a higher level for fund balance.
5. Commitments and assignments for a specific purpose may require higher than normal levels.

Beginning Fund Balance

The 2015 General Fund balance is estimated to be at \$8.076 million. The actual amount will not be known until the year-end report is issued.

Minimum Beginning Assigned Fund Balance (Reserve Commitments)

It is Timberland Regional Library's policy to provide a minimum beginning assigned fund balance of twice the maximum monthly deficit of the preceding year.



Timberland Regional Library						
CASH FLOW 2014						
Month	Receipts	Expenditures	Cash Balance			
Jan-14	248,006.01	1,741,541.09	(1,493,535.08)			
Feb-14	554,540.47	3,526,319.63	(2,971,779.16)			
Mar-14	1,435,484.19	5,147,009.33	(3,711,525.14)	(7,423,050.28)		
Apr-14	6,415,314.69	6,704,160.34	(288,845.65)			
May-14	10,173,808.05	8,426,007.85	1,747,800.20			
Jun-14	11,641,325.79	10,080,841.83	1,560,483.96			
Jul-14	11,908,926.43	11,668,648.13	240,278.30			
Aug-14	12,122,342.04	13,379,104.17	(1,256,762.13)			
Sep-14	12,536,215.32	15,293,536.36	(2,757,321.04)			
Oct-14	17,043,397.48	16,976,087.35	67,310.13			
Nov-14	17,043,397.48	16,976,087.35	67,310.13			
Dec-14	17,043,397.48	16,976,087.35	67,310.13			

Formula $\$3,711,525 \times 2 = \$7,423,050$ (Minimum Beginning Assigned Fund Balance)

The Library calculates that approximately \$7.423 million will be needed for cash flow to operate until the large influx of tax revenues come in late April. As revenues are received through December, this reserve is restored and becomes available for the following year.

Transfers to Special Purpose Funds

The amount to be transferred to the special purpose funds, Building Fund, Automated Circulation Fund, and Unemployment Fund, will be the difference between ending fund balance and the minimum beginning assigned fund balance. The appropriate level of funding for the special purpose funds shall be determined by future potential uses.

Operating Transfers by Year

	Operating	% Budget	Building	Auto-circ	Unemploment
2000	\$850,000		\$600,000	\$250,000	
2001	\$1,599,600		\$1,100,400	\$499,200	
2002	\$990,000		\$610,000	\$370,000	\$10,000
2003	\$645,000		\$255,000	\$370,000	\$20,000
2004	\$410,000		\$74,000	\$321,000	\$15,000
2005	\$550,000		\$121,000	\$321,000	\$108,000
2006	\$590,000		\$264,000	\$321,000	\$5,000
2007	\$900,000		\$450,000	\$450,000	
2008					
2009	<i>No Transfers Determined for These Years</i>				
2010					
2011	\$776,509		\$509,509	\$250,000	\$17,000
2012	\$300,000		\$250,000	\$24,000	\$26,000
2013	\$2,020,000		\$1,700,000	\$300,000	\$20,000
2014	\$450,000	2.08%	\$400,000	\$40,000	\$10,000
2015	\$633,000	2.90%	\$300,000	\$300,000	\$33,000

